

Egypt Financial Services

Covid-19 Recovery Roadmap

In collaboration with



PART

Economic Foundations

- 4 Pre-pandemic Economic Overview
- 5 Impact of Reforms
- 6 Demographic Drivers and Financial Inclusion
- 7 Financial Sector Resilience
- 8 Timeline of Non-monetary Measures
- 9 Interview: Mohamed Maaat, Minister of Finance

PART

Sector Mobilisation

- 11 Financial Response
- 12 Banking
- 14 Insurance
- 15 Capital Markets
- 16 Microfinance
- 17 Private Equity
- 18 Venture Capital
- 19 Interview: Mohammed Omran,
Chairman, Financial Regulatory Authority
- 20 Islamic Finance
- 21 Interview: Abdalla El Ebiary, Chairperson,
Egyptian Private Equity Association

PART

Recovery

- 23 Digitalisation
- 25 Fintech
- 27 Going Cashless
- 28 Blockchain
- 29 Artificial Intelligence
- 30 Inclusive Expansion
- 31 Interview: Alaa El Zoheiry,
Chairman, Insurance
Federation of Egypt

Part 1

PART

Economic Foundations

- 4 Pre-pandemic Economic Overview
- 5 Impact of Reforms
- 6 Demographic Drivers and Financial Inclusion
- 7 Financial Sector Resilience
- 8 Timeline of Non-monetary Measures
- 9 Interview: Mohamed Maaat, Minister of Finance

PART

Sector Mobilisation

- 11 Financial Response
- 12 Banking
- 14 Insurance
- 15 Capital Markets
- 16 Microfinance
- 17 Private Equity
- 18 Venture Capital
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PART

Recovery

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- 25 Fintech
- 27 Going Cashless
- 28 Blockchain
- 29 Artificial Intelligence
- 30 Inclusive Expansion
- 31 Interview: Alaa El Zoheiry,
Chairman, Insurance
Federation of Egypt

Part 1: Economic Foundations

Pre-pandemic Economic Overview

Egypt has conducted sweeping structural reforms over the past two decades. The most recent programme was backed by a \$12bn loan from the IMF, the last tranche of which was released in July 2019. GDP growth hit 5.6% that fiscal year, with the state budget targeting 6% growth for FY 2019/20. A Reuters survey of economists in October 2019 showed projected growth of 5.7% for FY 2020/21, which would make Egypt the only country in MENA to post positive growth that year. The fiscal situation has similarly improved,

evidenced by the fiscal deficit narrowing from 7.8% of GDP in FY 2019/20 to 2.6% in the first four months of FY 2020/21.

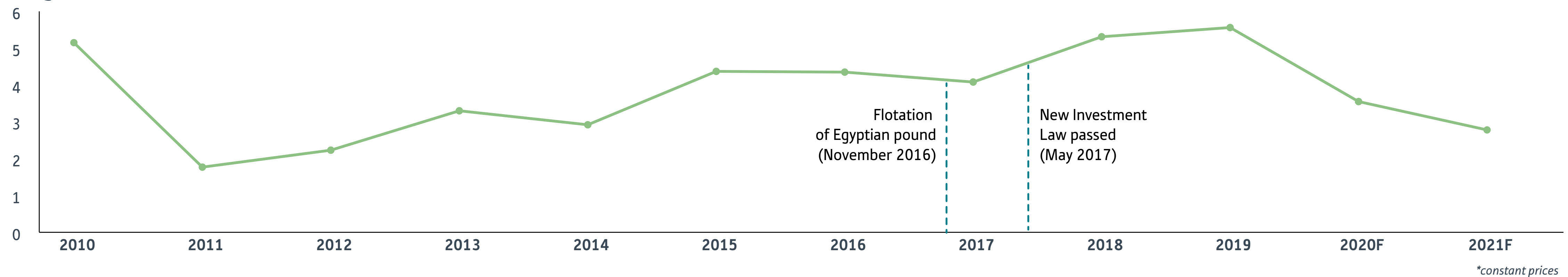
The IMF-backed reform agenda began with the flotation of the Egyptian pound in November 2016, aimed at improving economic stability and reducing the country's debt burden. While Egypt experienced significant short-term inflationary pressures – which, in combination with subsidy rationalisation, weighed on consumer purchasing

power – depreciation has ultimately helped to promote the export competitiveness of locally manufactured products, and attract domestic and foreign investment.

A new Investment Law was rolled out in 2017, providing a number of new guarantees for private companies, such as equal treatment of foreign and national investors, residence rights for the duration of projects, and protection against nationalisation or the seizure of funds without

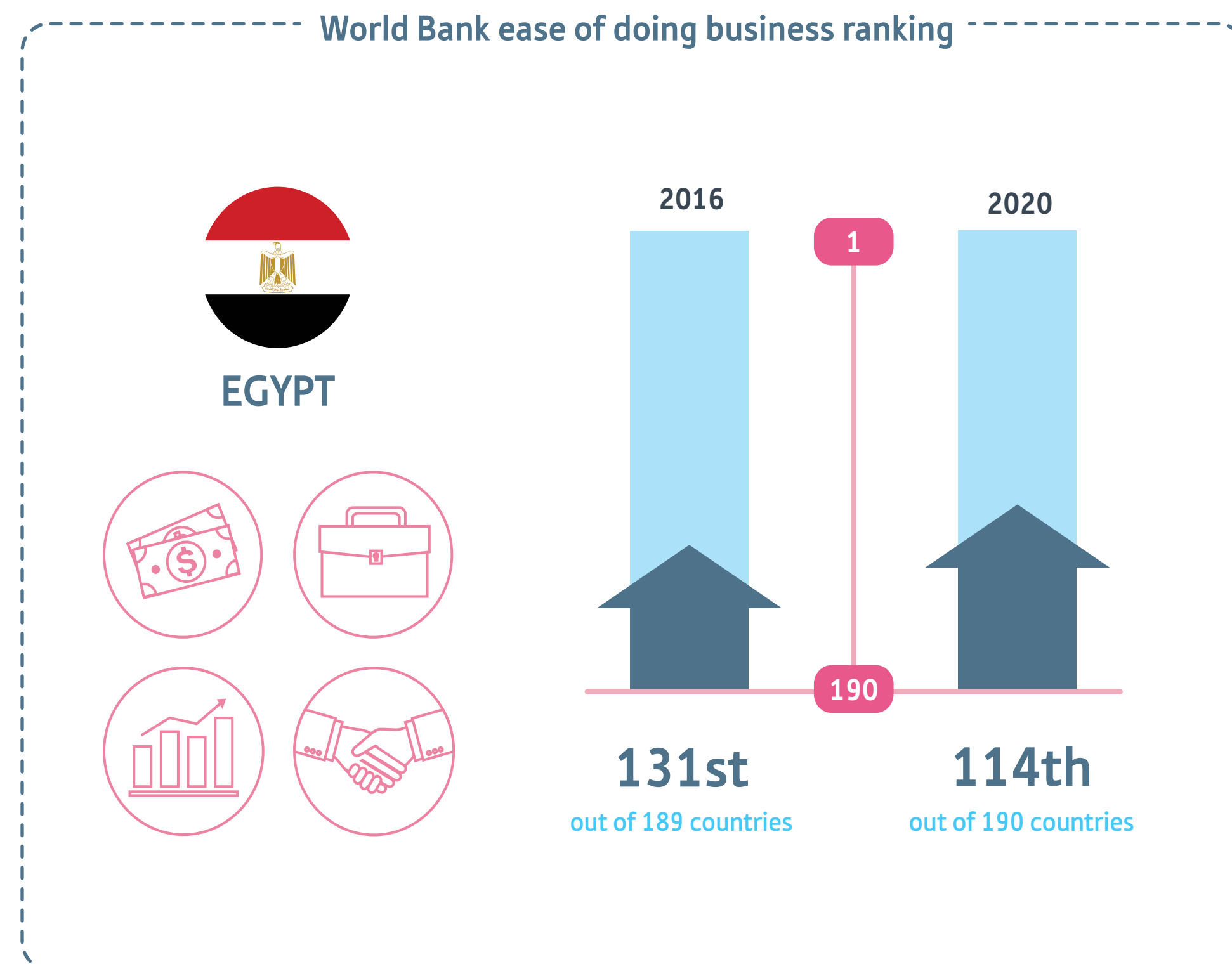
a court order, along with the right to transfer profits abroad. The new law also seeks to address the difficulty of securing suitable local labour, instituting a new 10% quota for foreign workers that can be increased to 20% in the absence of national labour with the necessary qualifications. Additionally, companies undertaking projects of strategic importance – such as those related to public utilities, roads and ports – can apply for a single approval for the establishment, operation and management of their developments.

GDP growth*, 2010-21F (%)



Part 1: Economic Foundations

Impact of Reforms



Reform efforts of the last half decade are reflected in Egypt's rise in the World Bank's ease of doing business rankings, from 131st out of 189 countries in 2016 to 114th out of 190 in 2020. Underlying these reforms is the recognition that the private sector has an important role to play in achieving the economic expansion and job creation needed to continue improving the living standards of the country's growing population.

Egypt's banking sector, which is the largest and one of the most stable in North Africa, has been a notable target of such reform efforts. A new banking law, which had been in development for some years, was published in September 2020. Key changes include a 10-fold increase in the minimum capital requirement for domestic banks, to LE5bn, and a tripling for foreign banks, to \$150m. This is expected to promote consolidation in the sector.

The law also includes new ownership regulations, barring any individual or related group from holding more than 10% of a bank's equity; mandatory publication of quarterly financial data;



and a directive to establish a financial stability committee to prepare for and avert future financial crises. Importantly, the legislation issued new rules on e-payments and financial technology (fintech), established the Central Bank of Egypt (CBE) as the official regulator of cryptocurrencies, and introduced new requirements for data protection and customer privacy.

Demographic Drivers and Financial Inclusion

In addition to a young population and thus a relatively small share of the country over the age of 65, other demographic factors are thought to have helped prevent the spread of the virus. For example, despite the large concentration of the population in Cairo, over half of the country lives in rural areas.

These same demographics underpin long-running efforts to increase financial inclusion and access to financial services in Egypt. While the number of Egyptians with a bank account has risen steadily – from 9.7% of the population aged 15 and over in 2011, to 14.1% in 2014 and 32.8% in 2017, according to the most recent World Bank data – penetration remains below the 43.5% average in the MENA region and the global average of 68.5%.

Historical obstacles to financial inclusion include the concentration of banking infrastructure in urban areas and slow innovation by state-owned institutions.

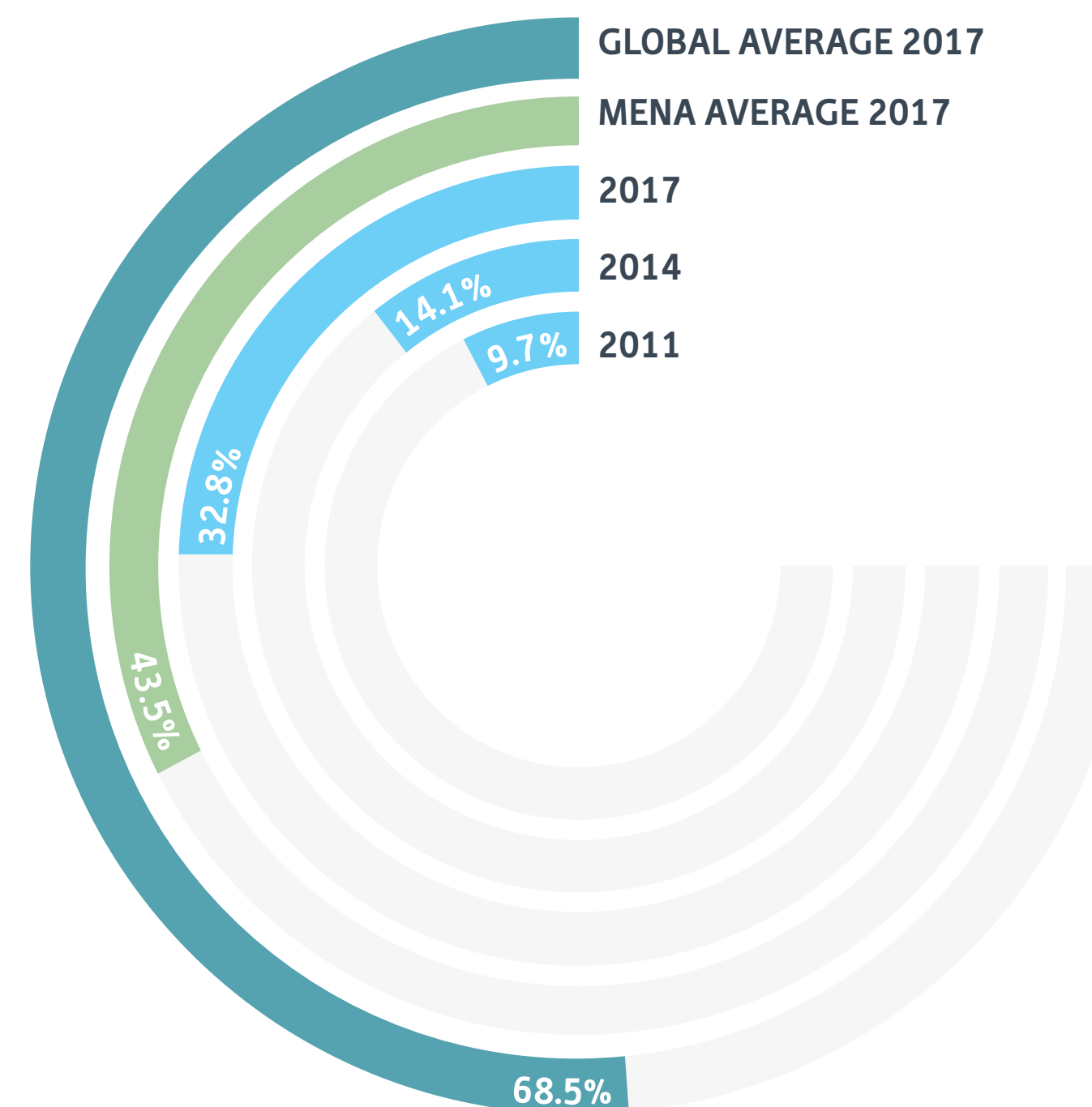
However, strategic steps taken to reform public banks in preparation for privatisation, combined with innovation by private institutions, have progressively made the banking sector more accessible.

In the non-banking segment, the government is actively promoting microfinance – an effort that has intensified since 2019 through measures to cultivate a nano-finance industry (see Microfinance in Part 2).

Digitalisation has supported many of the efforts to advance financial inclusion. Reducing dependence on banknotes, for example, has been a government priority since 2016, with the CBE introducing regulations for mobile payments and directing banks to boost the share of customers actively using e-wallets.

By 2017 roughly 21% of Egyptians aged 15 and over reported receiving digital payments, a five-fold increase from 4% in 2014.

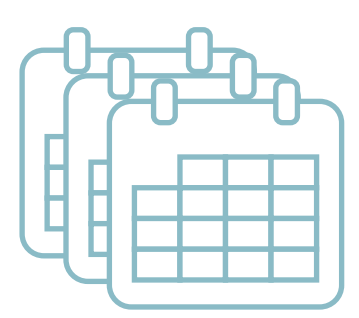
Bank account penetration in Egypt, 2011-17
(% of population aged 15+)



UP TO
\$190

CAN BE EXTENDED
TO INDIVIDUALS AS

NANO-LOANS



REPAYABLE OVER

THREE MONTHS

Part 1: Economic Foundations

Financial Sector Resilience

The solid footing of Egypt's banking sector heading into the pandemic – combined with support measures from the CBE – has helped it to weather economic headwinds, as well as provide stability to the broader economy. In its most recent “Financial Stability Report”, the CBE noted how healthy financial solvency metrics and ample liquidity allowed the sector to continue financing important trade flows, covering both basic and strategic commodity imports. Notably, the banking sector was able to achieve this without loosening any regulatory thresholds. The sector's capital adequacy ratio, measured as the share of risk-weighted assets, reached a high of 20.1% in June 2020, up from 18.6% at the end of the previous quarter and 17.7% in FY 2018/19. The sector's liquid assets ratio, meanwhile, reached 41.9% in June, with total banking assets measuring some LE6.4trn, up from LE5.3trn in FY 2018/19.

CBE support mechanisms for companies operating in strategic sectors, including credit limits designed to shore up working capital

requirements and finance payroll, were also cited as important contributors to the sector's overall resilience. Thanks to these and other measures, the national unemployment rate reached 7.2% – its lowest recorded level – in December 2020, down from 9.6% in June.

As household deposits make up more than two-thirds of all bank deposits, the underlying financial health of the working-age population – and therefore their ability to save at banks – is central to banks' crucial role as financial intermediaries.



Case Study



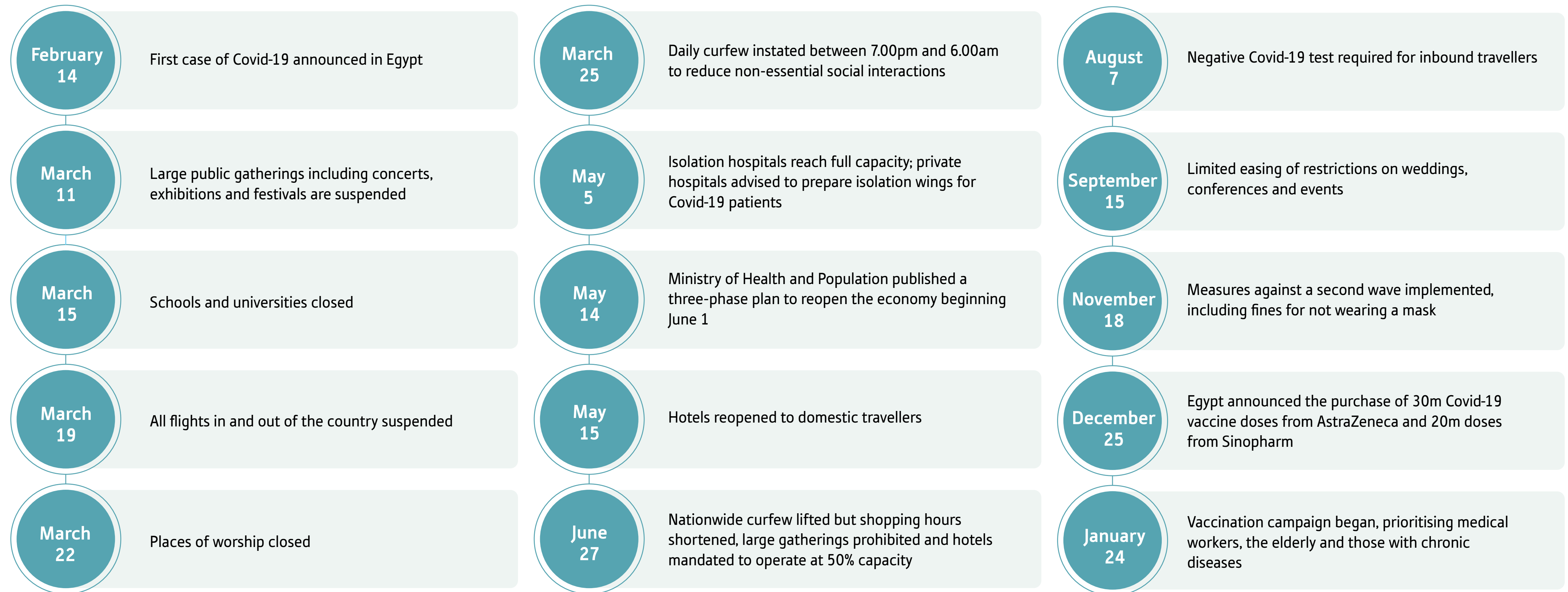
Misr Capital is the investment banking arm of Banque Misr, established in 2010. It has paid-up capital of LE4.2bn and is the largest asset manager in Egypt, with more than LE30bn in assets under management. Misr Capital has direct investments in vital areas such as banking, financial technology, financial leasing, real estate and petrochemicals. The firm also offers advisory and integrated financial solutions for investment banking services, and is Egypt's largest issuer and underwriter of securitisation bonds and *sukuk* (Islamic bonds).

Egypt has taken a several steps in recent years to enhance its attractiveness to investors, including enacting measures to boost the liquidity of its capital markets and expand the variety of tools available. While the pandemic delayed a number of planned initial public offerings, Egypt's positive economic growth in 2020 was an indication of the market's potential, as was the relative stability of the Egyptian Exchange during the year.

“The Covid-19 pandemic created many adverse repercussions for companies beyond the health challenges it posed, as businesses dealt with shifts in demand, supply chain disruption and the need to adapt, while a number of firms saw their credit ratings fall,” Khalil El Bawab, CEO and managing director of Misr Capital, told OBG. “In 2021 and 2022, however, it is likely that Egypt will see an rise in the issuance of shares, securitisation and corporate bonds, sukuk and short-term notes as companies seek to finance their recovery and expansion to take advantage of renewed economic growth both at home and around the world.”

Even though 2020 proved to be a difficult year, the company was able to introduce new lines of business and advisory offerings. “The challenging operating environment did not negate opportunities for expansion, nor the ability to benefit from regulatory reform initiatives, as well as the country's economic and geopolitical stability,” El Bawab said.

Timeline of Non-monetary Measures



Mohamed Maait

Minister of Finance

In what ways has the Covid-19 pandemic changed the role of technology in the economy and in the financial sector in particular?

The pandemic has spurred a renewed reliance on digital payments due to mobility constraints. This trend is likely to continue after the health crisis, and will accompany an uptick in economic growth in 2021. The government has been working to improve its online and digital infrastructure to facilitate this expansion, especially as demand for e-commerce grew substantially since the beginning of 2020. Financial technology (fintech) will play a key role in merging financial services and new technologies. This digitalisation drive has expanded to government services, and we expect that the Ministry of Finance will be fully digitalised by the end of 2022.

To what extent will government spending contribute to Egypt's economic recovery?

Government spending has undoubtedly aided in the post-pandemic recovery. Multiple measures were adopted in 2020 that helped maintain momentum,

such as stimulus packages and tax holidays for key sectors such as tourism. Investment levels in critical infrastructure such as highways and irrigation systems were maintained, and in some cases increased. Moreover, monthly subsidies to workers affected by the crisis helped mitigate the economic effects on households, and stimulus measures aimed at small and medium-sized enterprises (SMEs) helped such businesses maintain liquidity. This in turn supported the private sector so that when the situation began to improve, there was space for growth and job creation.

What steps are being taken by the financial services sector to formalise the economy?

Financial inclusion has long been prioritised, especially in terms of increased credit to private businesses and SMEs, and fintech development. This agenda is closely aligned with government efforts towards digitalisation, as well as incorporating informal businesses into the formal economy. As formalisation is a key policy target, the Central Bank of Egypt has allowed banks to establish branches

across the country, especially in places with low bank penetration. At the same time, lending regulations and procedures have been adjusted to allow for more access to credit. Digital services will continue to play a central role in the policy agenda as the government works to introduce financial services to unbanked and underbanked populations. In the long term efforts by both the government and private sector will boost formalisation, which will improve the business climate and economic productivity.

How will the government balance public debt targets with the need to provide financial support to the country's most vulnerable?

The priority is and will continue to be the sustained reduction in the debt-to-GDP ratio. This has been conducted in parallel to the expansion of the social safety net. To reach the goal of a primary surplus of 2% of GDP, the government introduced a medium-term revenue strategy in coordination with the IMF, as well as ambitious tax reforms. Indeed, the government will work to reprioritise expenditure while maintaining a focus on targeted subsidies.



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Egyptian Private Equity Association

PART

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- 25 Fintech
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- 28 Blockchain
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- 30 Inclusive Expansion
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Part 2: Sector Mobilisation

Financial Response

Moves to mitigate the effects of the Covid-19 pandemic have been based on the two pillars of health and economy. While funds from organisations such as the World Bank and the US Agency for International Development focused on securing medical equipment, training staff and expanding testing in Egypt, financing related to economic stabilisation came from the IMF and the government.

In early May 2020 the IMF approved nearly \$2.8bn in funding for Egypt through its rapid financing instrument (RFI). The IMF noted the Egyptian government's work over the last four years to stabilise the economy through measures such as floating the currency, removing expensive subsidies and lowering debt levels. However, these gains were at risk of being eroded by the sudden drop in tourism income, capital investment and trade through the Suez Canal since March 2020. The RFI, therefore, aimed to meet the country's balance of payments, limit the drawdown on international reserves and

bridge budgetary shortfalls. In June 2020 the IMF also approved Egypt's request for a stand-by agreement that granted access to an additional \$5.2bn for pandemic relief.

The government, for its part, announced a LE100bn stimulus package in March 2020 that detailed various measures to kick-start economic activity, with many actions extended beyond their original timeframes.

The majority of pandemic response funding in 2020 came from a handful of organisations

Month	Source	Amount
March	Government	LE100bn
March	World Bank	\$7.9m
May	IMF	\$2.8bn
May	World Bank	\$50m
May	USAID	\$3.2m
June	IMF	up to \$5.2bn
December	UK & WHO	£1m



Viewpoint

Mervat Soltan, Chairperson, Export Development Bank of Egypt (EBE)



Egypt's banking sector and the Central Bank of Egypt (CBE) performed well during the pandemic, and helped to support business activity and the economy while the government implemented health and safety measures. The sector's ability to effectively respond to the crisis stems not only from the economic reforms undertaken with support from the IMF, which provided \$12bn in financing, but from the banking reform that started in 2004.

At the onset of the pandemic the CBE and the government moved swiftly to implement measures aimed at supporting the wider economy, including deferring payments and interest instalments for six months, and offering certain low-interest financing initiatives. When a segment like international tourism is affected by ordinary volatility, other segments such as domestic tourism would be able to fill the gap for businesses. However, this has not been the case with Covid-19. Moreover, EBE and other banks

responded by creating crisis management teams, buying the necessary tech equipment such as laptops, and ensuring cybersecurity systems and protocols were in place to allow for secure remote working. Furthermore, the CBE adjusted regulations to allow for remote board meetings. Logistics were also key to the sector's response, as banks moved to ensure that masks, gloves and sanitisers were available at all locations, along with acrylic shields for customer-facing tellers.

Banks are now focused on enhancing digitalisation, and the CBE is supporting this effort. The pandemic was a catalyst in terms of growing client demand for digital products: the number of customers who adopted e-wallets, internet banking or mobile banking increased exponentially. This demonstrates the importance of banks' adaptability, as well as the need to take advantage of the depth of talent available in Egypt to continue to integrate new technologies to improve banking services for customers.

Part 2: Sector Mobilisation

Banking

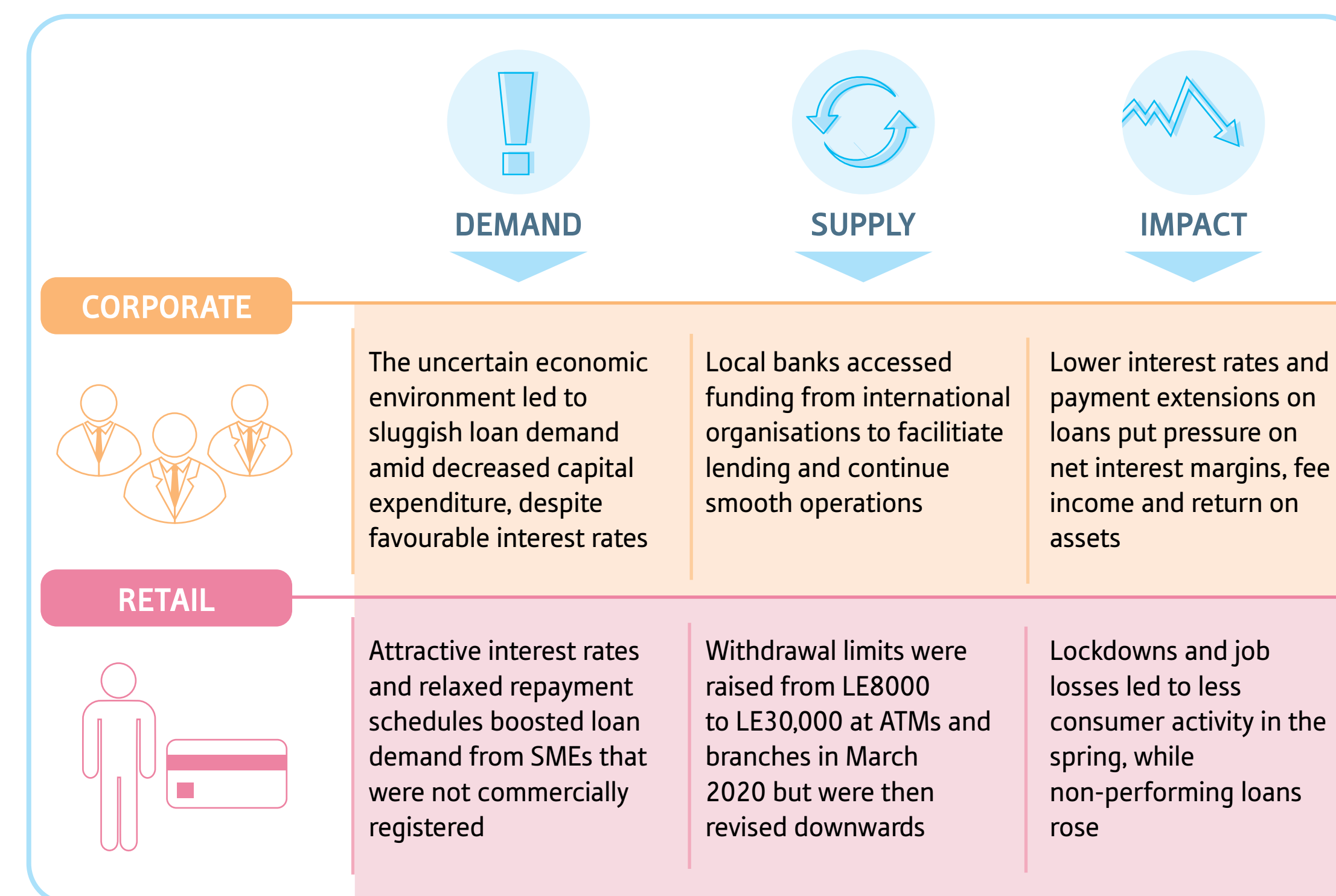
Amid weaker corporate lending activity due to reduced demand for loans to fund capital expenditure, banks increased their focus on SMEs that did not have sufficient savings to sustain business operations. Prior to the pandemic the CBE had shown support for SME lending, announcing in mid-2016 that it would cap interest rates and help to boost the share of SME loans in banks' lending portfolios to 20% by 2020.

As of mid-May 2020 SMEs had received some LE160bn under the programme, which was renewed for another four years in January; by August this figure had grown to LE180bn.

The private banking sector also received funds from international organisations to support businesses, including SMEs. For example, in May 2020 QNB Alahli was granted \$100m from the European Bank for Reconstruction and Development. That same month Banque du Caire and the European

Investment Bank signed a financing deal worth \$100m to assist SMEs across the manufacturing and service segments, helping to sustain 4000 jobs at 100 companies.

Increasing the availability and uptake of digital banking and contactless services was another major theme for the banking sector in 2020. As of November 2019, 31 of Egypt's 38 banks offered digital services, yet only half this number provided a mobile banking service. In the spring of 2020, however, when the severity of the pandemic was becoming more apparent, a number of banks expanded their digital offerings. For example, the state-owned National Bank of Egypt, the country's largest bank, stated that an additional 96,000 customers used its internet banking service between March and May 2020, making 373,000 transactions. Over the same period 6000 new customers started using the bank's e-wallet service and made 196,000 transactions worth a total LE200m.



Part 2: Sector Mobilisation

Case Study



Banque du Caire is a full-service bank with retail and commercial offerings headquartered in Cairo. It has branches and ATMs across the country, and has expanded into segments such as microfinance, corporate lending, liquidity management, and trade and supply chain finance. It also operates a representative office in the UAE, as well as a Ugandan subsidiary, Cairo Bank Uganda.

As one of Egypt's oldest and largest banks, Banque du Caire was established in May 1952. It came under government control in 1961 as part of a economy-wide nationalisation drive. In May 2007 Banque Misr acquired ownership of Banque du Caire, and in 2009 five shares each were sold to Misr Investment Company and Egypt-Abu Dhabi Real Estate Investment Company. In June 2010 Banque Misr's shares were transferred to Misr Capital Investment Company.

The challenging market conditions brought on by the Covid-19 pandemic lowered initial public

offering (IPO) activity in 2020. This slowed the government privatisation programme, but in early 2021 the government resumed public offerings. This included the planned offering of up to 49% of Banque du Caire's shares. Once complete, the IPO is expected to boost the competitiveness of the Egyptian financial system and the capital markets specifically by expanding the number of listed companies and increasing market liquidity. The privatisation strategy comes on the back of a series of reforms in recent years aimed at improving the business climate.

The banking sector was quick to adapt during the pandemic by leveraging digital tools, allowing consumers and businesses to access funds and financing, and conduct business despite social distancing. The bank has continued to prioritise improving its offerings, with a focus on mobile and internet channels. It has launched multiple digital services and products, including an e-payment system and a mobile app, and corporate banking.



Viewpoint

Tarek Fayed, Chairman, Banque du Caire

In the years before the Covid-19 pandemic banks in markets such as Europe and the US were incorporating digitalisation and financial technology into their operations. The pandemic highlighted the importance of investing in these technologies to financial institutions in Egypt.

However, technology is just one aspect of the drive to support small and medium-sized enterprises and expand financial inclusion throughout Egypt. Approximately half of business activity in the country takes place in the so-called grey economy, and banking penetration is at about one-third of the population. These two factors underscore the potential for growth and enhanced demand for banking services. The challenge will be for banks to develop the right products for clients, and for consumers to be able to access them.

The potential for digitalisation to help boost financial penetration is further supported by the size and youthfulness of Egypt's population. The

country also has a nearly 100% penetration rate for mobile phones, making online and mobile applications a strong starting point for banks to expand their client base.

The pandemic proved that it is necessary to invest in and further develop digital payments, as well as accelerate their adoption. Moving towards a cashless economy is an essential element of financial inclusion, and a cashless system will increase banking penetration as familiarity with such payment methods increases. During the pandemic the use of online payments, mobile wallets and QR codes saw sharp growth as consumers tried to avoid handling cash and going into stores. Now that these tools have been adopted, they will play an important role in the post-pandemic recovery, which will help to mature the business-to-business and business-to-consumer ecosystem. Despite this shift to digitalisation, the expansion of and investment in branches will continue in the medium term.

Part 2: Sector Mobilisation

Insurance



39
insurance
companies

LE35.2bn worth of premium in
June 2019

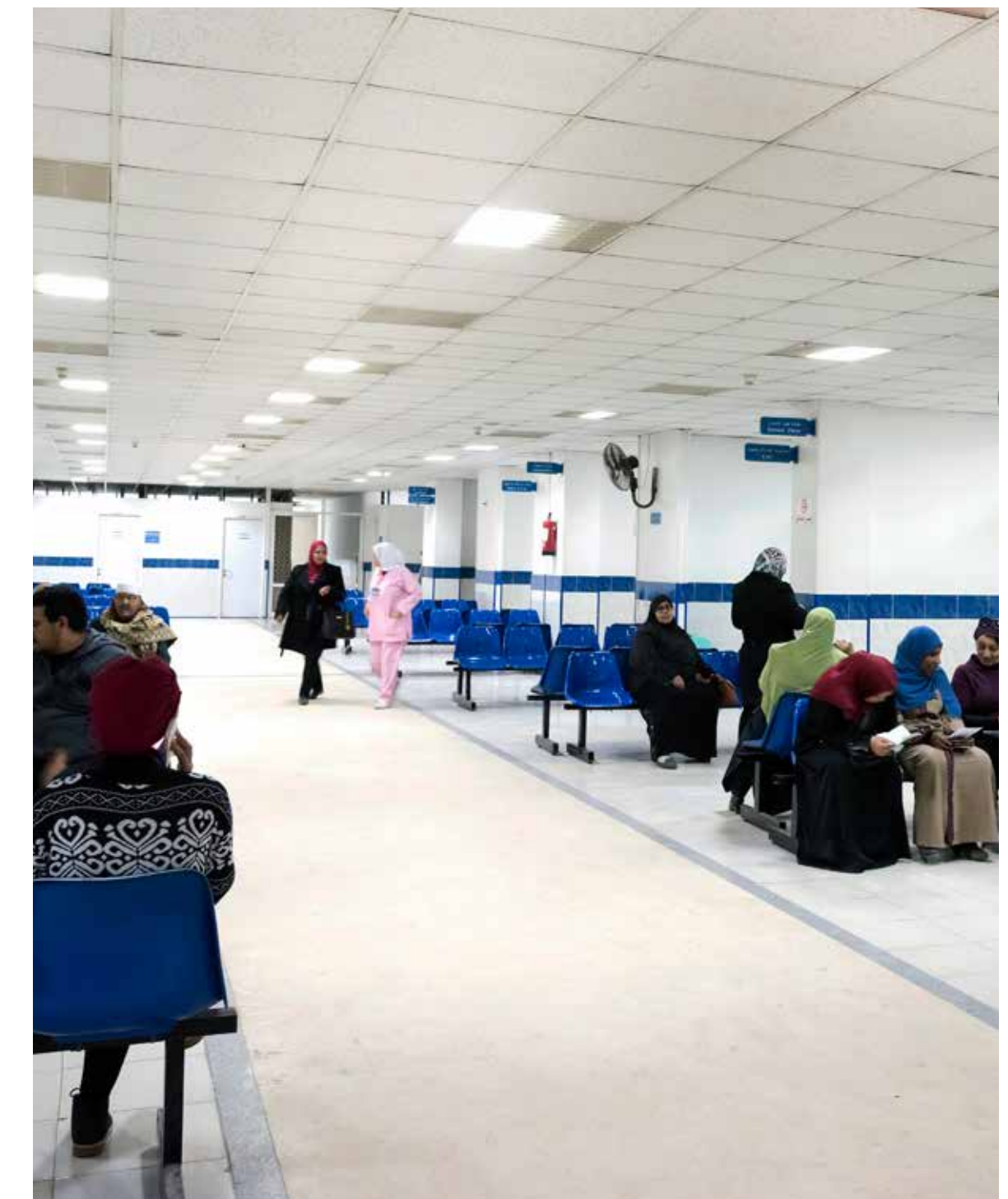
3m Egyptians registered for
universal health insurance

LE425m paid to cover universal
health insurance claims as of
December 2020

The Egyptian insurance market remains relatively underpenetrated, at a rate of 1% of the population, compared to the regional average of 3% and the global average of over 6%. The sector's contribution to GDP is also limited, representing 0.1% in 2019, down from 0.91% in 2018. However, the low penetration rate presents significant potential for expansion, which is set to be expedited with the help of a newly drafted insurance law. The Unified Insurance Act, which received Cabinet approval in mid-November 2020, increases the regulatory, licensing and oversight authorities of the Financial Regulatory Authority (FRA), and includes strategic measures aimed at stimulating industry growth. Insurance will become obligatory for institutions, including SMEs, and individuals. Additionally, 21 different types of Insurance will become mandatory, including for non-banking financial services, student health care, marriage and liability insurance for certain professions.

According to the Insurance Federation of Egypt, there was a 10-15% year-on-year decline in the number of new insurance products launched between the initial outbreak of the virus in mid-February 2020 and mid-July. Due to the economic pressure many Egyptians faced, premium payments have been negatively affected, as essential items are prioritised over insurance products.

Nevertheless, insurers stepped up during the crisis to cover Covid-19 testing and care in instances of positive cases, even where policies did not explicitly offer coverage. The rollout of the national universal health insurance programme, which began in Port Said in December 2019, followed by South Sinai, Luxor, Ismailia and Aswan, will be gradually implemented across all Egyptian cities. The role of private insurers within the new system remains unclear, but there may be an opportunity for insurers to provide supplementary coverage within the system.



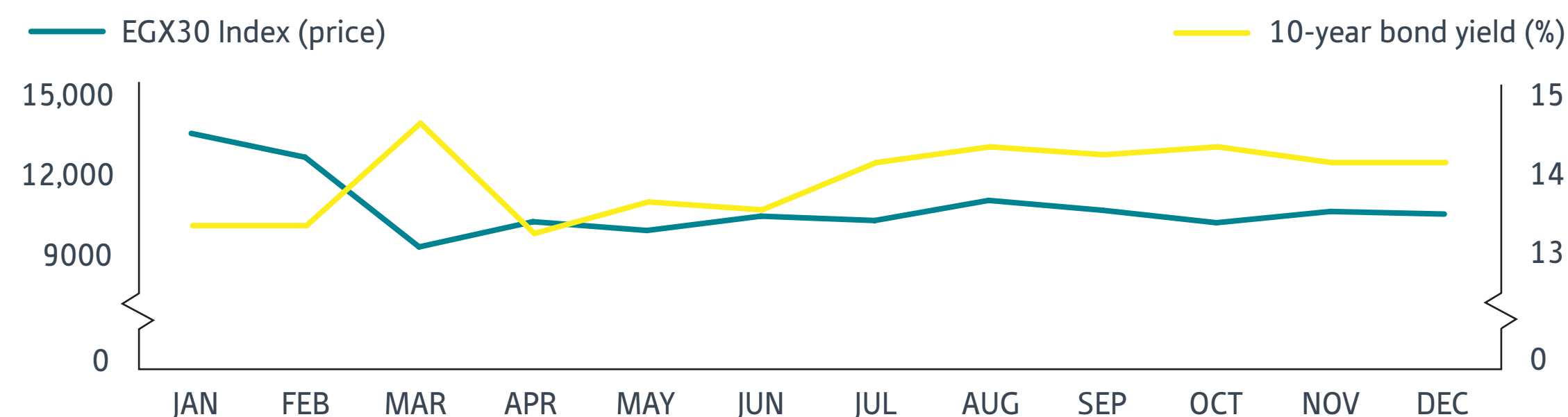
Part 2: Sector Mobilisation

Capital Markets

Egypt's stock exchange is among the most diversified in the region, with 190 listed companies across 18 sectors. Over the three years following the implementation of the IMF-backed reforms in 2017, the market's main index expanded by 66.5%. Over the first quarter of 2020, however, market cap dropped nearly 25% in value. Much of this was due to the curfews and remote-work measures that were introduced to prevent the spread of the virus. Government stimulus packages supported businesses while several mitigation measures were aimed at encouraging exchange activity.

In the short term the FRA took a number of steps to facilitate compliance with regulations and ensure the continuity of operations for companies listed on the exchange, including implementing policies to allow remote board voting and electronic signatures. Long-term goals of the Egyptian Exchange include increasing market liquidity by encouraging initial public offerings and stimulating market activity by introducing new products such as short selling, which was launched in December 2019 and for which approximately 50 companies have been granted approval.

Bond versus index performance, 2020



Case Study



HC Securities & Investment

HC Securities is an investment bank based in Cairo that operates across Egypt and the MENA region. It was founded in 1996 and specialises in investment banking, asset management, securities brokerage, research, custody, online trading and private equity.

Throughout the pandemic the Egyptian economy remained more buoyant than any other in MENA. One of the main reasons for this is the robust nature of its financial system, with the stability of Egyptian capital markets a key component, given healthy volumes on the exchange thanks to government interventions to ensure ample liquidity.

Alongside a likely resurgence of fixed-income debt issuances, there is set to be heightened activity in private equity and venture capital in 2021. Much of this is due to Egypt's healthy start-up scene and positive long-term prospects – especially in financial technology

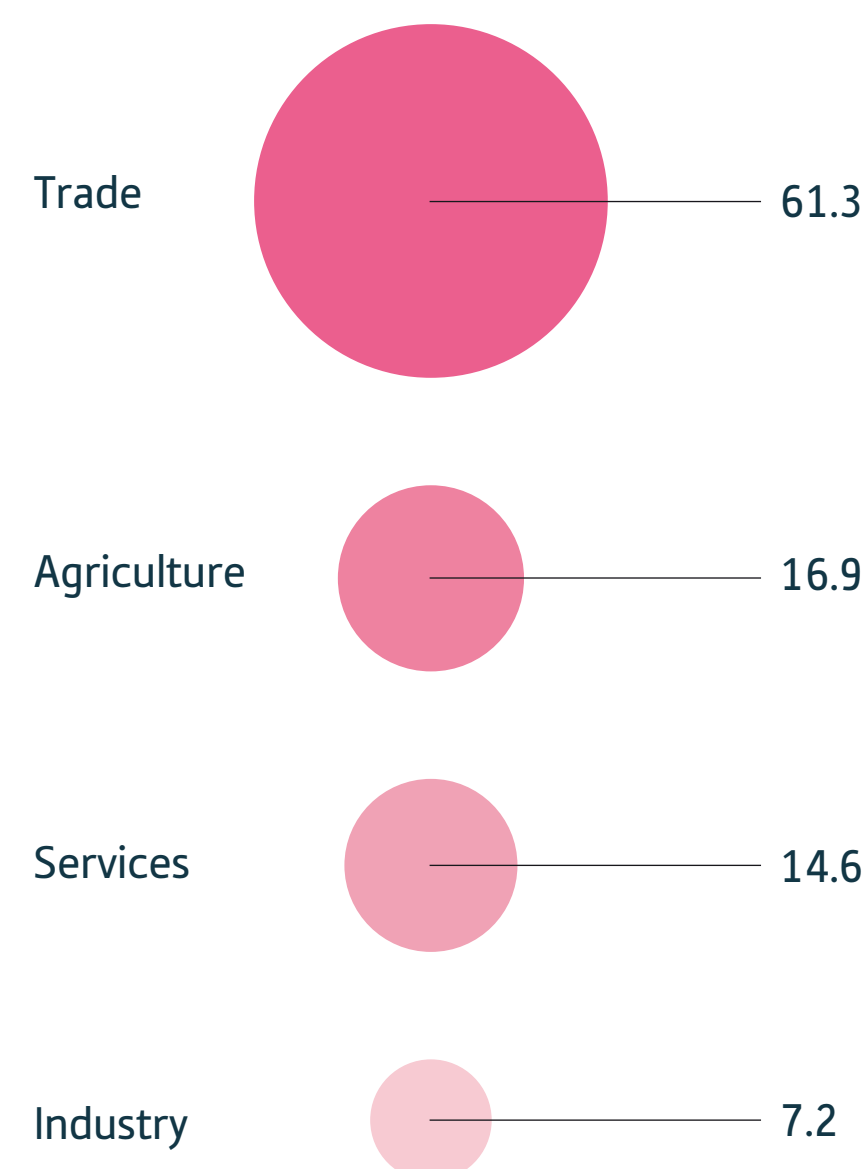
(fintech) as a result of the government's goal to boost financial inclusion.

HC Securities' economic outlook for the Egyptian economy in 2021 is positive, with moderate inflation, stable exchange rates and possible interest rate cuts. In light of this view, we are bullish about high-beta stocks alongside high-conviction picks across real estate, financials, and some industrial and consumer companies. "The positive outlook for capital markets in conjunction with a resilient economy during Covid-19 could see a boom in bourse activity following the pandemic, particularly in terms of initial public offerings," Hussein Choucri, chairman and managing director of HC Securities, told OBG. "More broadly, the government's ongoing push for digitalisation and the growth in fintech start-ups are likely to boost financial inclusion, which in turn raises prospects for long-term growth in financial markets."

Part 2: Sector Mobilisation

Microfinance

Microfinance credit by activity,
Q3 2020 (%)



The microfinance segment in Egypt stems from the country's efforts to boost financial inclusion, support SMEs, encourage entrepreneurship and widen the tax base. Egypt's informal economy is estimated to be worth about \$154bn – roughly 40% of GDP – and comprises both small businesses and independent workers, as well as professionals who engage in off-the-book activities in addition to their formal jobs. For SMEs, microfinance is seen as a win-win solution, providing funding for businesses to expand – or, in the case of 2020, survive the pandemic – while bringing them into the tax base to support infrastructure, health and education spending.

Amid the pandemic microfinance funding expanded significantly, reaching LE17.9bn in the first quarter of 2020, LE17.2bn in the second quarter and LE17.9bn in the third quarter, according to information from the FRA.

In January 2020 the government launched Nano Finance, a microfinance programme that provides capital to economically marginalised groups such as small-scale farmers, self-employed persons, daily labourers and street vendors. Under the initiative, each individual receives a maximum loan of \$190 to be repaid within three months.

Case Study



The Egyptian Credit Bureau was established in 2005, and maintains a database of credit information for credit consumers and small and medium-sized enterprises.

Its commercial name was changed to I-Score in 2007, and it is the only licensed private credit bureau in the country. I-Score's members are able to access the company's database, which holds nearly 100% of the credit data on credit consumers from commercial banks.

Due to the significant size of the country's informal economy, financial inclusion has been a priority for both the government and the Central Bank of Egypt (CBE) as they seek to implement economic reforms, improve the local business environment and expand the tax revenue base.

In 2019 several steps were taken with regards to the Egyptian Credit Bureau aimed at improving financial inclusion, including opening the Ministry of Supply and Internal Trade's commercial records to banks through the credit

ratings agency, expanding the credit bureau's remit to include monitoring micro- and nano-lending transactions, and requiring that banks report their credit limits to the Egyptian Credit Bureau on a monthly basis.

When Covid-19 hit in early 2020, individuals and businesses came under intense pressure, and in April 2020 the CBE cancelled the list of non-performing loans maintained by I-Score, which benefitted 8000 companies and 100,000 individuals, and removed the ban on banks dealing with delinquent clients. The decision was designed to enable those affected by the pandemic to take advantage of the stimulus measures provided by the government to aid in restarting the economy.

"The current initiative of extending credit to micro- and small businesses and incorporating them into the formal sector will be an important pillar supporting Egypt's economic recovery going forwards," Mohamed Kafafi, CEO of the Egyptian Credit Bureau, told OBG.

Part 2: Sector Mobilisation

Private Equity

The five years leading to 2020 saw Egypt position itself as one of the top venture capital (VC) destinations in the world – and particularly within North Africa and the wider MENA region.

According to the African Private Equity and Venture Capital Association, Egypt captured 42% of private equity deals by value in North Africa between 2014 and 2019, and ranks among the top VC destinations on the continent for early-stage investments, along with South Africa, Kenya and Nigeria.

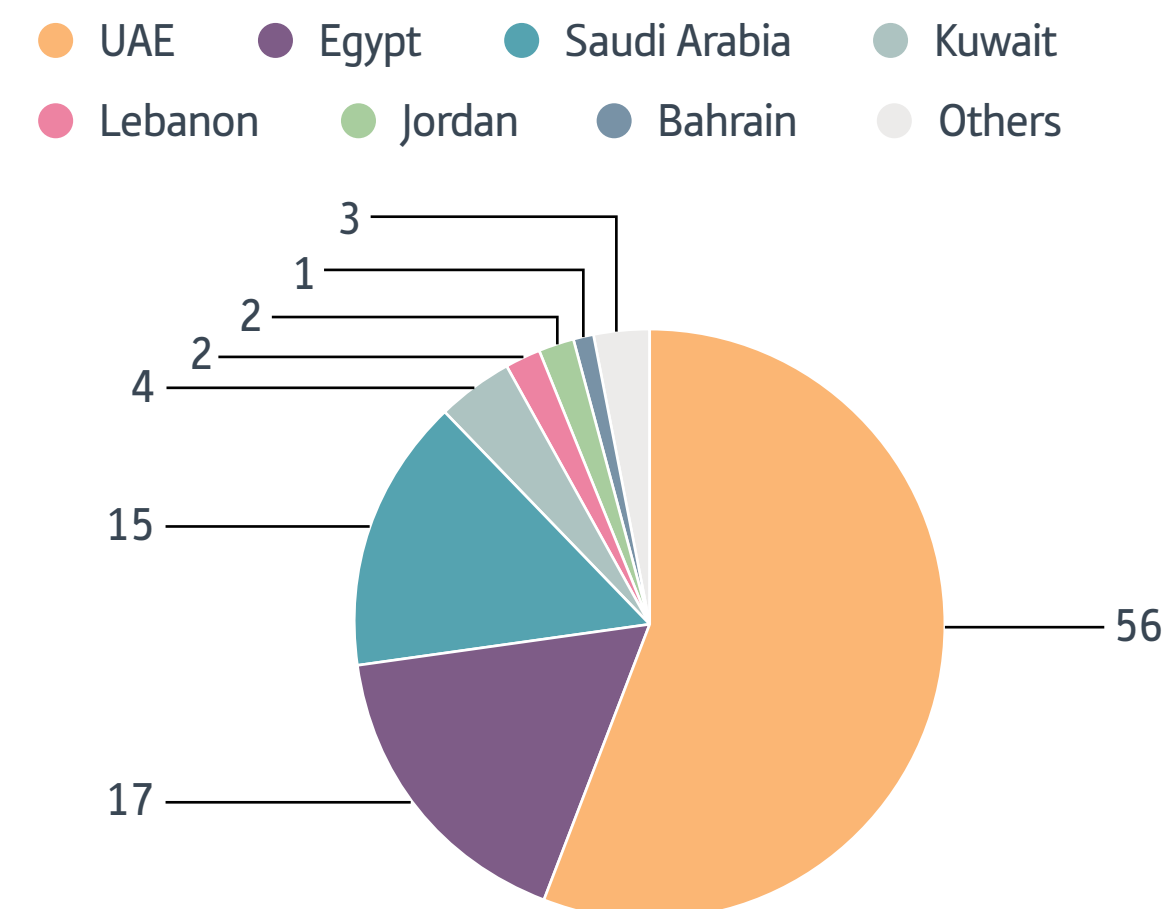
Egypt was first in terms of the number of start-up investment agreements made in MENA, according to the 2019 “MENA Venture Investment Report” by MAGNiTT, accounting for 25% of all deals.

The country continued to perform strongly in this arena throughout 2020. Capturing nearly one-quarter of all deals in MENA, Egypt ranked second in the region in terms of start-up funding by value.

The region as a whole secured 496 deals for a total of \$1.03bn in investment in 2020 – an increase of

13% on the previous year despite the pandemic – and 17% of this total flowed to Egypt. Activity was particularly strong in the first half of the year and resulted in large deals for a handful of firms, one of which was Egyptian digital health care company Zezeeta, which secured approximately \$40m.

Share of start-up funding in MENA, 2020 (%)



Case Study



Nile Holding for Development and Investment (NDI) is a joint stock company with a shareholding structure equally divided among three of Egypt’s largest commercial banks – namely, the National Bank of Egypt, Banque Misr and Banque du Caire. NDI aims to strengthen Egypt’s role in sustainable investment in sub-Saharan Africa.

Whether due to the relative youth of the Egyptian population, the country’s climate or the measures taken to limit the spread of the virus that causes Covid-19, Egypt and Africa as a whole have been less impacted by the pandemic than many other regions.

Nevertheless, NDI has transitioned to remote work, particularly in its internal operations. It has been possible to continue a variety of analysis and communicate with current investments where relationships had already been established through digital platforms.

The impact of the pandemic on private equity investment in Egypt going forwards will be most evident in shifting evaluation methods for potential new investments.

The characteristics of the management team and the adaptability of the company, as well as the firm’s vulnerability to disruption, will become increasingly salient metrics for evaluation. For NDI, the performance of a potential investment during the pandemic will be used as a stress test to better understand the company’s strengths, weaknesses and overarching business strategies.

The relatively successful handling of the virus in Egypt and throughout Africa also indicates that a new type of risk assessment is needed to compare emerging economies to developed markets in order to underscore the level of opportunity present across the continent in the coming decade.

Part 2: Sector Mobilisation

Venture Capital

Egypt has some 20 active and well-known VC firms. Angel investor network Cairo Angels had invested \$3m in 30 start-ups as of December 2020. It created a fundraising consultancy in June 2020 for early- and growth-stage start-ups in partnership with Microsoft and local companies such as the American University in Cairo Venture Lab – Egypt's first university-based incubator. The lab runs 16-week financial technology start-up accelerator programmes and had raised over LE1.5bn worth of investments as of early 2021.

Egypt's start-up funding profile in 2019 vs 2020

Absolute amount

+31%



Share of total MENA start-up funding

+2 percentage points



Case Study



AL AHLY CAPITAL HOLDING
الأهلي كابيتال القابضة

Established in 2008, Al Ahly Capital Holding (ACH) is the investment arm of the National Bank of Egypt. It has comprehensive investment management experience, with direct investments amounting to over LE9bn.

Despite the economic turbulence that accompanied the Covid-19 pandemic, ACH reinvented itself as a fully fledged financial services company through a series of acquisitions and restructuring initiatives. The company currently operates through its three business lines: investment banking and advisory services; private equity; and non-banking financial services. It is through these product offerings that the company aims to position itself as a gateway for investment and financial services in Egypt.

Believing in the resilience of local financial markets and the potential for increasing market depth and participation, ACH acquired

Pharos Holding's brokerage and investment banking operations in 2020, placing it among the leading investment banks in Egypt. Its ongoing acquisition of a top asset management company will bring an additional LE25bn in assets under management.

In early 2021 ACH launched its microlending subsidiary Tamkeen as an integral part of its non-banking financial services platform Al Ahly Tamkeen. The company opened eight new branches in Upper Egypt in the first half of 2021 and has set a target of establishing 60 branches by mid-2022.

In a similar vein, in March 2021 ACH acquired a 75% stake in e-payments company Momken to facilitate the delivery of financial services. In collaboration with its business partners, ACH will continue to develop its offerings by launching innovative financial services and moving into the financial technology space.

Despite a challenging year for economies around the world, regulators endorsed measures to make the Egyptian market more investor-friendly. The holding company aims to leverage its asset management and direct investment expertise to work more closely with international investors looking to enter the Egyptian financial services market.

The firm is working on a structural shift to manage third-party capital through several new investment platforms. In the fourth quarter of 2020 ACH acquired health care services provider Cairo West, which owns El Nada Hospital, marking the first investment made on the ACH health care investment platform. This will be followed by initiatives in the education sector and beyond.

Within its existing direct investment portfolio, ACH has exited investments in agri-business and building materials companies.

Part 2: Interview

Mohammed Omran

Chairman, Financial Regulatory Authority (FRA)

In what ways did the Covid-19 pandemic change the actions and priorities of the financial sector?

Covid-19 has spread with alarming speed, disrupting all sectors with the same stressors across different markets. It has left a global *force majeure* on the economic sector in general and the financial sector more specifically. The performance of financial markets, financial firms and regulators cannot be decoupled from Egypt's wider response. The government's stimulus package was highly effective in mitigating the impact of the pandemic on economic growth and the performance of the private sector. The leadership has taken a proactive approach navigating the crisis, which in turn has limited the fallout. It has also continuously refined the proactive approach in line with the number of infections to keep the market open and support the private sector. The main priority of stakeholders is focused on crisis management and market stabilisation, followed by regulating and guiding companies. Broadly speaking, the private sector should be first in outlining a change needed to promote sustainable finance. Going forwards,

sustainable finance products and services will become increasingly important. Consequently, we have adopted a strategy concentrated on building engagement and awareness, enabling voluntary action and implementing resilient regulations.

To what extent have recent reforms altered the listing requirements of the national bourse?

In September 2019 amended listing rules on the Egyptian Exchange were proposed in order to ensure women's representation on the governing boards of companies, requiring both listed companies and non-bank financial institutions to have at least one female board member by the end of 2020. The decision is in line with broader actions to boost gender equality and empower women's leadership across the country's non-banking financial sectors. The decision has gained endorsement from both government and civil society, marking the first of its kind in Egypt. It is expected to help accomplish the National Strategy for the Empowerment of Egyptian Women 2030, which requires 30% of all senior management positions to be held by women by 2030.

How has Covid-19 impacted the way the financial sector approaches digitalisation?

The pandemic has definitely propelled a growing number of companies to proactively adopt digitalisation. However, it is just a beginning. This assumption is also based on the government directives, which had been promoting and endorsing the digital transformation agenda prior to Covid-19. In line with Egypt's precautionary measures to fight the pandemic, the FRA introduced a raft of provisions to support the implementation of e-voting in general assemblies. The move encouraged companies to use e-voting systems to enable eligible shareholders to vote remotely on various decisions. It spurred regulated entities to hold general assembly meetings in several places simultaneously through video and audio interaction. Additionally, the FRA has allowed a proxy voting via licensed custodians or registered owners according to the provisions of the Central Depository and Registry Law. Moreover, the provision allowed representatives of shareholders to attend general assembly meetings by virtue of written authorisation or power of attorney.



Part 2: Sector Mobilisation

Islamic Finance

In 1963 Egypt became the first country to establish a modern Islamic bank. Despite Islamic finance gaining a foothold in the market in 1980s, today Egypt is home to three Islamic banks out of 38 institutions licensed by the CBE: Faisal Islamic Bank, Al Baraka Bank of Egypt and Abu Dhabi Islamic Bank Egypt. Around a dozen conventional banks also offer Islamic financial services, yet the segment made up 5.5% of the banking sector as of 2019.

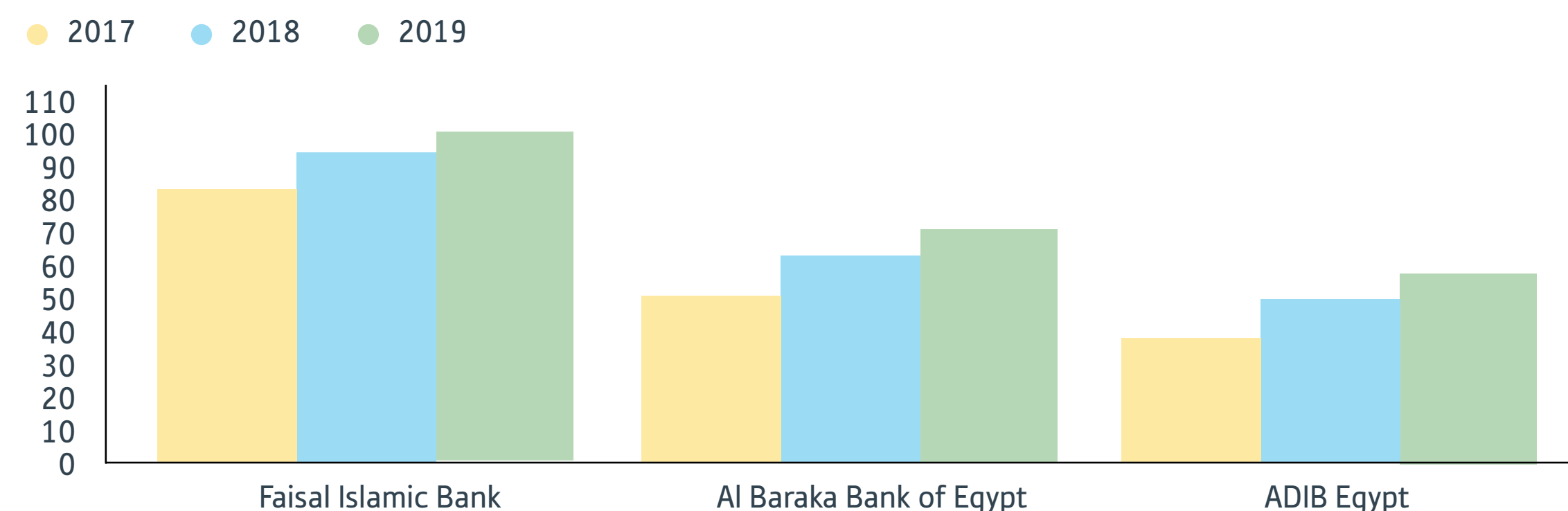
In a legal context, Islamic banks are not regulated differently than conventional banks in Egypt. A lack of political will to craft a specific regulatory framework for such institutions is often cited as a reason why the segment is not reaching its full potential. Hussein Elasrag, a senior economist with the government, published a paper in October 2020 in which he noted that Egypt could take meaningful steps in this area by creating a bankruptcy regime

for Islamic financial institutions and setting forth standards for sovereign *sukuk* (Islamic bond) issuances, monetary policy instruments, negotiable deposit certificates and securities.

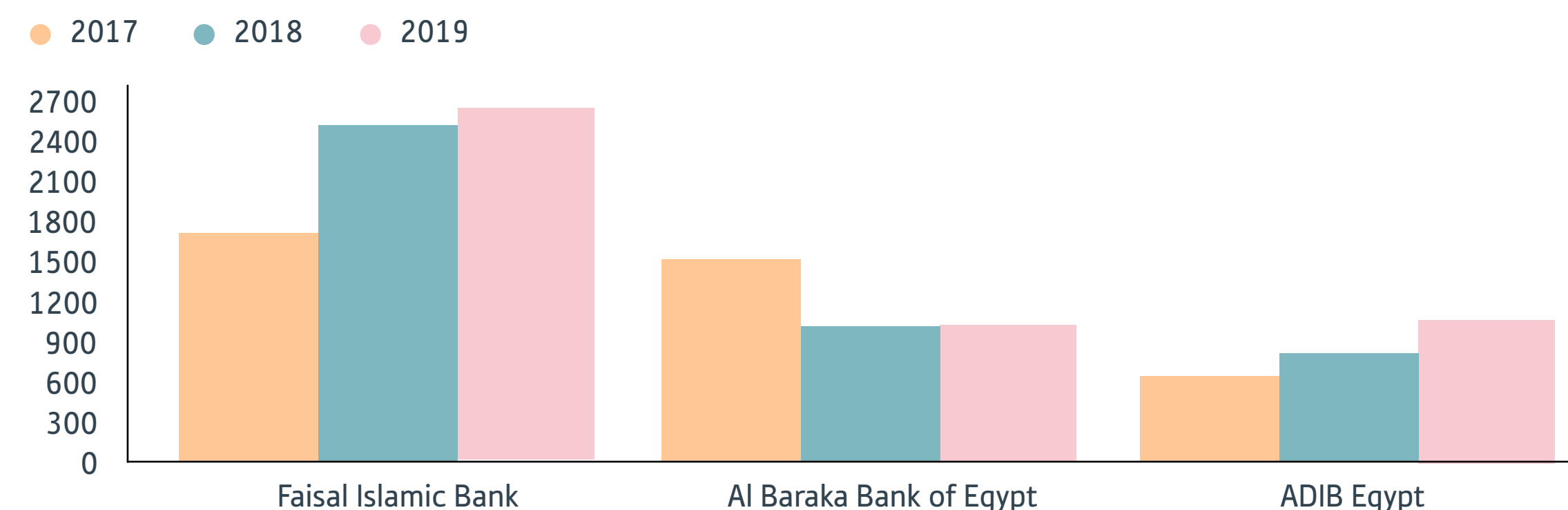
Covid-19 disrupted normal operations across all economic sectors in 2020, and the financial arena proved no exception. There has been growing recognition within the FRA of the need to tap

new types of financing instruments, thus the body approved Egypt's first *sukuk* issuance in April 2020 – a LE2bn offering by a subsidiary of listed real estate developer Talaat Mostafa Group. In September 2020 the government signed its first conventional and Islamic financing facility. The \$2bn instrument is in line with Egypt's ongoing effort to diversify its sources of debt, as it hoped to spark greater interest in the Islamic segment going forwards.

Assets of Islamic banks in Egypt, 2017-19 (LE bn)



Net profit of Islamic banks in Egypt, 2017-19 (LE m)



Part 2: Interview

Abdalla El Ebiary

Chairperson, Egyptian Private Equity Association

To what extent has the resilience of the Egyptian economy amid the Covid-19 pandemic created a positive outlook for private equity in 2021?

To answer this question it is necessary to look back at the reforms that have taken place since 2014, when the government addressed key structural issues in energy, infrastructure, financial inclusion and the digital economy. Due to these reforms, the Egyptian economy was in a position to continue posting positive year-on-year growth despite the challenges of the Covid-19 pandemic.

Furthermore, the government struck the right balance implementing stimulus measures, lockdowns, and policies to protect the health of citizens while ensuring business continuity.

Looking ahead, a significant number of private equity transactions were announced in early 2021 and are waiting to be executed. The fact that they are still on track is an indication of the economy's strength and its ongoing attractiveness to private equity and venture capital investors. Now is the time for private

sector venture capital and private equity investors to become increasingly active in the economy and participate in either acquiring and growing these assets, or creating greenfield projects in these fields.

In which sectors do you see the greatest investment opportunities for private equity?

There is significant demand for private equity involvement in the Egyptian economy, irrespective of the sector. Nevertheless, given the country's demographic trends and economic strengths, areas like food and beverage manufacturing, fast-moving consumer goods, health care and health infrastructure, conventional and renewable energy, digital infrastructure and financial services – especially those focused on increasing financial inclusion – are attracting a high level of interest from private equity and venture capital investors.

Education also presents investment opportunities due to high demand and the centrality of education to Egypt's goal of growing its talent pool. There are also investment opportunities in tourism. While some

may consider against investing in the industry due to the slowdown in activity during the pandemic, the recovery process could take as little as two to four years, making it a good time to invest.

What makes the Egyptian market particularly attractive to international investors?

In addition to the economic reforms of the past several years and the government's clear commitment to continuing these reforms, Egypt is a sizeable market both in terms of assets and available consumers, with a population of over 100m people.

The large population also provides a substantial pool of skilled labour for businesses to draw upon. Having the right talent and access to education and training opportunities are important aspects in deciding where to launch or expand a business.

Furthermore, Egypt's bilateral and multilateral trade deals, combined with its geographical proximity to markets in Europe, Africa and the Middle East, make the country an attractive location to invest in.



PART

Economic Foundations

- 4 Pre-pandemic Economic Overview
- 5 Impact of Reforms
- 6 Demographic Drivers and Financial Inclusion
- 7 Financial Sector Resilience
- 8 Timeline of Non-monetary Measures
- 9 Interview: Mohamed Maaat, Minister of Finance

PART

Sector Mobilisation

- 11 Financial Response
- 12 Banking
- 14 Insurance
- 15 Capital Markets
- 16 Microfinance
- 17 Private Equity
- 18 Venture Capital
- 19 Interview: Mohammed Omran,
Chairman, Financial Regulatory Authority
- 20 Islamic Finance
- 21 Interview: Abdalla El Ebiary, Chairperson,
Egyptian Private Equity Association

PART

Recovery

- 23 Digitalisation
- 25 Fintech
- 27 Going Cashless
- 28 Blockchain
- 29 Artificial Intelligence
- 30 Inclusive Expansion
- 31 Interview: Alaa El Zoheiry,
Chairman, Insurance
Federation of Egypt

Digitalisation

Digitalisation is an important enabler of a variety of technology-based financial sector innovations and developments, and is a central tool in the government's efforts to formalise the economy.

The country has made a concerted push towards digitalisation in recent years through a number of policies designed to encourage the adoption of digital technologies both in business operations and in interactions with the government; however, there is wide latitude for further improvement. Increased digitalisation across both public and private sector financial entities, for example, could help to significantly accelerate future innovation, particularly in finance.

On the government side, digitalisation is part of a broader reform programme to increase the efficiency and effectiveness of government institutions, and improve the services provided to citizens and businesses.

Technology is critical to tackling the challenges of a bureaucracy that ballooned under the government of President Gamal Abdel Nasser, which guaranteed public sector employment for university graduates.

By digitalising and automating processes, and reducing the time and cost of shuffling paper between various offices and organisations for signatures, approvals and record-keeping, the government aims to reduce the civil service while also improving speed and quality.

As an early step, the government transitioned to electronic payment of civil service salaries in 2019, and more recently, via Decree No. 18 of 2019, introduced the requirement that taxes, Customs and utilities payments and other government fees in excess of LE500 also be paid electronically. In a similar spirit, the budget for FY 2020/21 earmarked LE12.7bn to progressively digitalise all government services countrywide.

Data Personalisation



Effective data collection and clear data-use strategies are necessary to develop effective digital solutions that meet demand. It is key to:

- Capture and store data in an effective and accessible manner
- Know what data is available
- Identify what data is necessary to collect
- Determine how the data should be interpreted

Mobile First



It is no longer sufficient to move financial services online; customers expect to access financial services from their phone.

- Egypt's high level of mobile usage should be leveraged to expand financial services penetration

Customer Centrality

Effective digitalisation requires focusing on customer needs, developing financial solutions to meet demand, and using technologies to deliver the solution effectively and efficiently

Selective Use of Technology



Technology should not be adopted for its own sake or without purpose. When implementing a technology, it is important to consider:

- Integration with legacy systems
- Regulatory requirements
- Ease of use for desired purpose
- Scalability and adaptability as both demands and requirements evolve

Part 3: Recovery

Digitalisation

By digitalising tax filling, Customs forms and fee payments, the government is narrowing the space for businesses to operate in the grey economy and increasing the amount of data that can be used for economic policy-making. Digitalisation also has the potential to reduce human error and fraud. In particular, steps taken to digitalise government services will reduce bureaucratic obstacles for businesses – another important factor in tax avoidance. As of December 2020 more than 100



companies were conducting all government transactions through its new e-invoicing system, which will be the only way to conduct business with state agencies and companies from July 2021.

In the private sector, financial service firms and banks have been at the forefront of digitalisation, rolling out online platforms to complement traditional in-person services. By the start of 2020, 32 banks offered internet banking services and 28 had been granted mobile banking licences. Nonetheless, face-to-face interactions continue to play an important role in building trust between clients and financial service providers.

Additionally, regulatory requirements like know your customer and wet signatures have limited the possibility of fully digital customer acquisition, though steps are being taken to increase the scope for digitally native financial services. Law No. 194 of 2020 on the Central Bank and the Banking Sector, for example, includes provisions for licensing digital-only banks, though the number of traditional licences is capped at the current 38.

Case Study



Mashreq Bank is the UAE's oldest privately owned bank. It has an expanding footprint in the Middle East and a strong presence in the financial capitals of the world, with international offices in Europe, Asia, Africa and the US. At the national level, the Egyptian banking sector has been a pillar of the country's broader economic reforms over the course of the past several years, and amid the Covid-19 pandemic banks have been central to facilitating the government's economic stimulus measures.

When the pandemic started in early 2020, in line with the Central Bank of Egypt's regulations, Mashreq Bank in Egypt implemented a six-month payment holiday on all credit cards, mortgage loans, personal loans, and small and medium-sized enterprise loans, and enabled free withdrawals from all its ATMs across Egypt for six months. Corporate borrowers saw maturities and interest deferred for six months as well. As the government introduced curfews

and social-distancing measures, digital tools became increasingly important for business continuity. Additionally, online purchases increased as consumers worked to avoid unnecessary face-to-face interactions.

The turn towards a more digital banking ecosystem was an advantage for Mashreq Bank, which had previously invested heavily in digital finance across the Gulf. As such, the bank leveraged its online banking platform amid reduced demand for brick-and-mortar services.

"This shift towards financial technology and digital banking catalysed by the pandemic will continue post-recovery and define the sector moving forwards," Amr El Bahey, CEO of Mashreq Bank Egypt, told OBG. "For banks to be successful, they will need to reach their customers in-situ and offer digital products that can help them to build their businesses and meet their needs," El Bahey added.

Part 3: Recovery

Fintech

LE1bn

investment fund from the Central Bank of Egypt for fintech start-ups



\$265bn

in global fintech revenue forecast by 2025



70%

of Egyptians remain unbanked and could be targeted by fintech

Financial technology (fintech) refers to the innovative technologies being developed to improve and automate financial services. Fintech has become a disruptive force in the financial services sector both in Egypt and further afield, with global fintech revenue forecast to reach \$265bn by 2025.

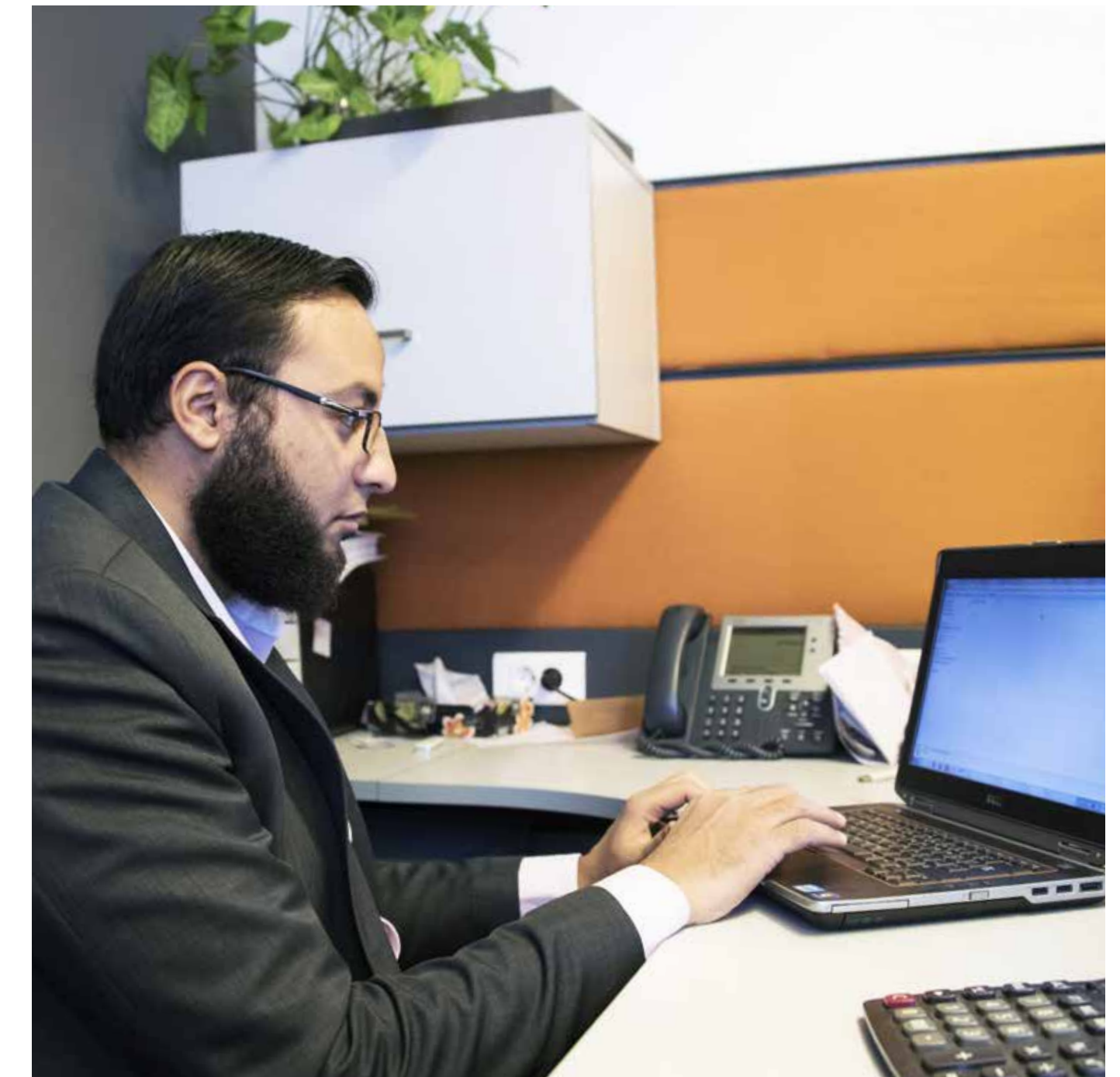
Often seen as a competitor to banks and traditional service providers, fintech is adept at meeting customer demands through simple, user-friendly platforms and interfaces due to the fact that it is digitally native and faces minimal regulatory constraints, particularly in comparison to more highly regulated conventional banks.

However, with approximately 70% of the Egyptian population still unbanked, there is significant potential for greater collaboration between banks and fintech players, with the aim of increasing the overall customer base.

A number of Egyptian banks have invested in fintech to help support the burgeoning industry, and as a means of further developing and improving their own digital offerings. On the regulatory side, the Central Bank of Egypt has established a LE1bn fund to invest in fintech start-ups in the country.

Thanks to these approaches, Egypt has developed a vibrant fintech ecosystem over the past several years, and a number of companies offering technology-based solutions to financial challenges have achieved notable growth.

In 2020 Cairo was the only African city to be included in the list of the top ecosystems in the world to watch in US-based Startup Genome's "Global Fintech Ecosystem Report" due to its robust network of incubators and accelerators, availability of educated talent and supportive underlying policy framework.



Part 3: Recovery

Fintech



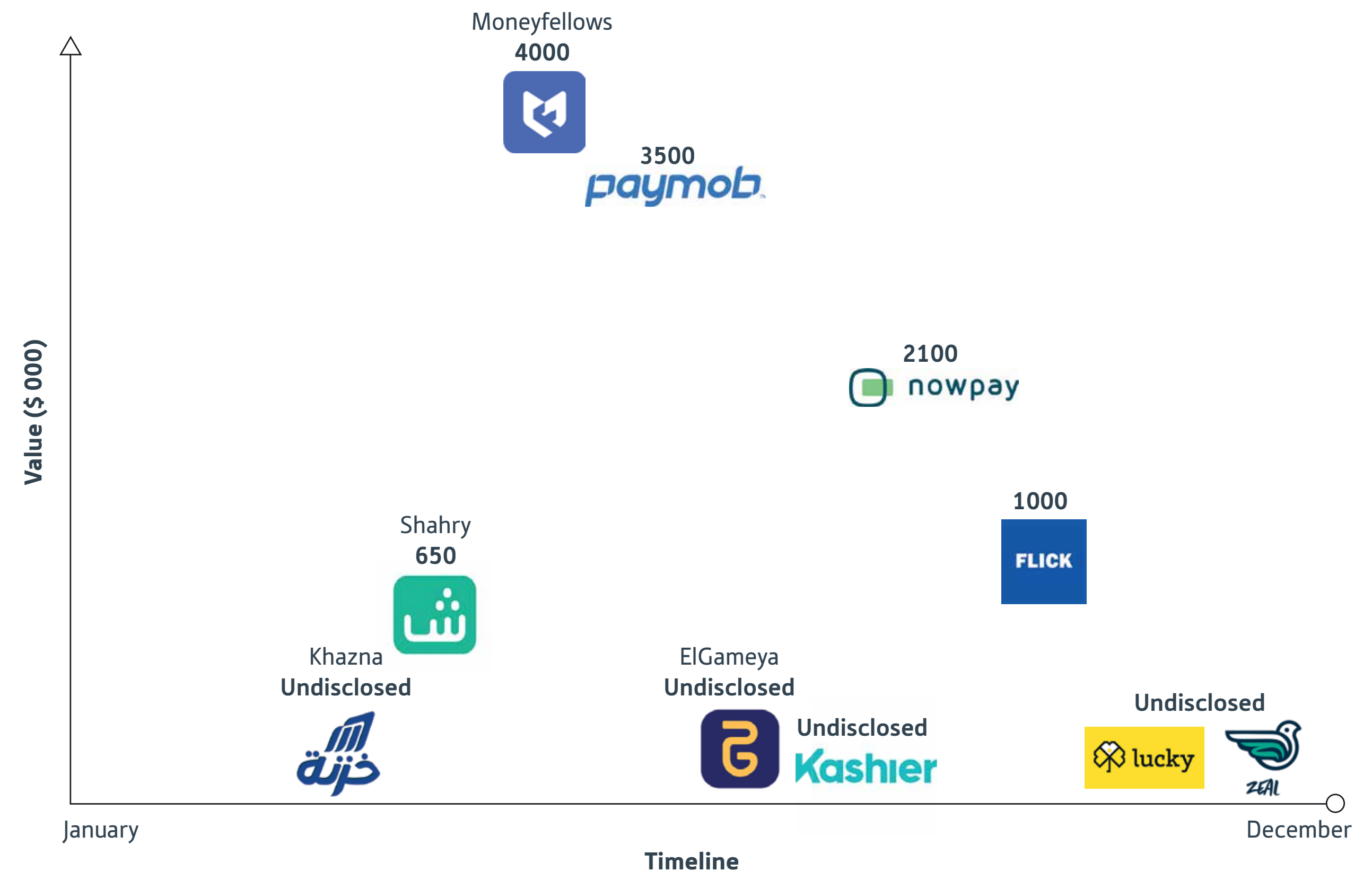
The passage of Law No. 194 of 2020 on the Central Bank and the Banking Sector is an important enabler of future development in the segment, expanding the regulatory infrastructure for fintech in Egypt through provisions on digital payments, digital banks and digital currencies. A strengthened regulatory environment will facilitate continued growth in fintech in the country – particularly during the post-pandemic economic recovery phase, when several fintech companies are expected to go public after postponing listings in 2020.

Micro-lending and micro-insurance are both priority growth segments, given their potential to increase financial inclusion in the country, but the challenge is achieving the scale needed to make these services profitable without incurring the costs traditionally associated with quickly reaching a large number of customers.

The general lack of business data on micro-enterprises and small businesses creates additional barriers for traditional financial services in terms of assessing risk. Technology offers the potential to scale these services to reach the large, untapped consumer market in an efficient manner.

Similarly, the adoption of e-payments and digitalisation of business information will help to create a body of data that can be used by lenders and insurers to assess risk, creating easier access to financing for micro-enterprises and small businesses.

Selected fintech funding rounds in Egypt, 2020



Part 3: Recovery

Going Cashless

Cash continues to dominate the Egyptian market, where the informal sector accounts for approximately half of economic activity and cash transactions comprise 55% of online purchases. By contrast, 27% of online retail payments was done by card and 8% by e-wallet in 2020. The pervasiveness of cash continues to be an inhibitor to the growth of e-commerce as companies face higher rates of cancellation and failed delivery with cash on delivery. Egypt's first unicorn, Fawry, built its business model on bridging the gap between digital financial infrastructure and the customer, covering point-of-sale (POS) and online transactions, and electronic payments and cash.

55% of online purchases
are paid in cash



27% of online retail payments
are made by card



8% of online transactions
are done via e-wallets

Although the private sector has largely pioneered innovative alternatives to cash, the government has made the transition to digital payments the foundation of its push for inclusion. Along with the requirement that all payments to the government be made digitally, in early 2019 the central bank and the National Payments Council launched Meeza, a scheme to issue pre-paid cards that can be used for electronic payments, including to the government, without the need for a bank account. The cards are designed to build trust in e-payments and banks, which have partnered with the government to issue the cards, more than 4m of which were distributed in the first year.

Egypt has seen a recent proliferation of POS machines, with the central bank financing the distribution of 100,000 machines in 2020, and a variety of digital payment options, including Fawry, Apple Pay and QR codes, are becoming more widespread. During the first eight months of the pandemic the number of mobile wallets increased by 17% to 14.4m, driven by demand for remote transactions and the desire to avoid handling cash.

Case Study



Over the past 30 years Masria Cards has moved from producing cards to handling payment processes, and in 2019 was renamed Masria Digital Payments (MDP). In 2020 it introduced digital payment processing to its portfolio of solutions, with a view to optimise clients' resources and improve the functionality of their payment operations.

Of the 178,000 electronic payment services and digital wallets providers in the Arab world, 73% provide services in Egypt. Moreover, the country leads the region in the use of digital wallets, with 15.3m, compared to 4m in Bahrain and 1m in Saudi Arabia.

Forecasts suggest that the global value of e-commerce will reach \$24trn by 2025 and by 2040 online shopping will account for 95% of retail purchases. MDP helps clients tap into this growth through offering advanced ATM and point-of-sale (POS) solutions that

are integrated into clients' existing systems and applications, as well as through digital payment solutions to improve clients' access to customers and digital banking solutions.

There have been some initiatives over the past few years to transition to a cashless economy, which are tied to the Central Bank of Egypt's efforts to boost financial inclusion. "Some noticeable progress was being made, particularly for the small and medium-sized enterprises segment, prior to the pandemic," Ahmed Nafie, vice-president of sales and marketing at MDP, told OBG. "But social-distancing measures have significantly spurred demand across the board," he added.

More broadly, to encourage the adoption of digital payment tools, the Central Bank of Egypt waived fees and commissions on ATM withdrawals, e-payments and POS machine transactions for six months from mid-March.

Blockchain

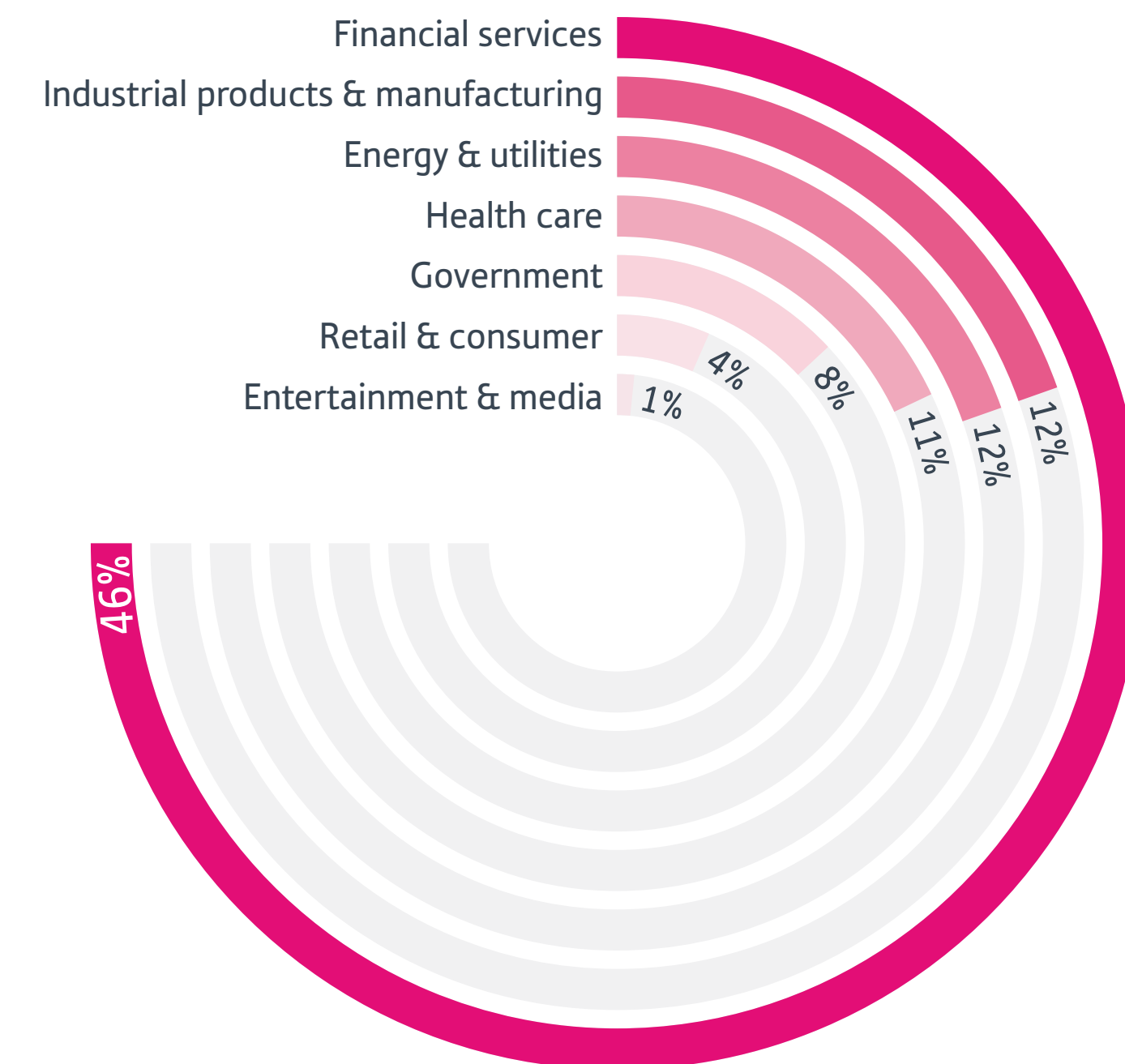
Blockchain refers to distributed-ledger technology, or a decentralised database comprising blocks of data chained together. When information fills a new block, it is added to the existing chain with a time stamp. The history of the transmission and addition of data can be verified and authenticated independently of a central clearing house. The first commercial blockchain application was the digital currency Bitcoin, which saw its value rise by more than 300% in 2020. However, its application in contracts, identification, medical and financial records, and supply chain verification, among other areas, has the potential to improve trust and transparency while also reducing spending on verification.

The financial services sector is leading other business areas in the adoption of blockchain technology, with Gardner Research reporting that 82% of reported use cases fell within the sector in 2017. A year later this had declined to 46%, suggesting that rapid adoption of

blockchain was taking place in new industries. The US and China continue to lead global blockchain adoption, but the potential for the technology to benefit emerging markets is significant, particularly given its capacity to reduce bureaucracy and central clearing.

Initially, the Egyptian government seemed hesitant to back blockchain and cryptocurrencies, due in large part to security concerns; however, a new law covering crypto may be issued in 2021, and the central bank is currently studying the potential issuance of an Egyptian digital currency. In contrast to decentralised blockchain currencies, central banks that issue central bank digital currencies (CBDCs) control the level of access transaction participants have to the ledger, making it more regulated. This control is thought to mitigate the price volatility frequently seen in cryptocurrencies. However, a possible downside of CBDCs is the circumvention of banks in favour of an e-wallet at the central bank.

Industries seen as leaders in blockchain development, 2018 (% of respondents)



Artificial Intelligence

Breakdown of AI



Artificial intelligence (AI) refers to technologies that mimic human intellect by exhibiting human-like learning and problem-solving traits. There are significant applications for AI in the financial services sector, particularly in combination with other technologies like blockchain.

Egypt aims for AI to contribute 7.7% to its GDP by 2030, but achieving this kind of growth will require significant progress in the digitalisation and data collection on which AI applications rely.

With a sizeable amount of data to draw on, governments are better able to allocate services and tailor policy. Similarly, in the private sector, the availability of data and the application of AI can contribute to improved efficiency of operations, as well as the development of better products and services designed to meet consumer demand.

The government's strategy for fostering the AI industry is focused on developing a talent base through education, while at the same time promoting the application of AI in government and business – particularly as it relates to data, education and infrastructure.

AI is already being applied to reduce human workloads in areas like customer service – for example, through chat bots – and at banks – such as by flagging suspicious purchases made with a bank card.

Rather than replacing human workers outright, AI enables workers to focus their attention on addressing challenges that require more value-added and creative thinking rather than rote processes. While Egypt is at the very early stages of developing and applying AI, the technology will have far-reaching implications across the broader national economy in the long term.

\$297bn

global IT budget of banks by 2021

\$447bn

potential cost savings from AI for banks by 2023

Part 3: Recovery

Inclusive Expansion

There is significant room to expand banking penetration via digital technologies given the sizeable gap between the country's nearly 100% mobile penetration rate and the 30% that has a bank account. However, given that roughly one-third of the population is illiterate, a digital-only programme risks excluding a significant portion of the country. To avoid widening economic divisions and creating barriers to formalisation, the government has pushed forward with a digitalisation programme that considers limited access to the internet as well as issues like illiteracy



by adapting the infrastructure of the postal service to assist with face-to-face delivery of digital government services. Using a state entity with a large network of physical branches and a trusted track record – particularly in rural areas, where the postal service has long been the most frequent government interaction for many – has been an effective redeployment of resources that were in declining demand due to digitalisation.

In banking and insurance, where the market continues to be underpenetrated, building trust and promoting awareness frequently requires more face-to-face interaction than is possible through a mobile app. This is especially true for potential customers who are not already familiar with mobile and digital communication. As such, Egypt will continue to see the expansion of physical branches across segments of the financial services sector as public and private entities look to increase penetration. Once a level of trust has been built with a customer, the ubiquity of mobile phones is likely to allow for existing services to transition to digital channels over time.

Case Study

EZDEHAR®

Ezdehar Management is a private equity fund management firm that finances high-growth businesses in Egypt. The company's first fund, the Ezdehar Egypt Mid-Cap Fund, invests in medium-sized companies in sectors that benefit from Egypt's burgeoning demographics and macroeconomic fundamentals.

The steadily improving business environment in Egypt has helped to strengthen the investment and private equity scene in recent years, aided by streamlined regulations and national infrastructure development. The flotation of the Egyptian pound in November 2016 created a competitive environment for exports, while large-scale infrastructure projects boosted local demand. Additionally, the expanding population has driven up demand for significant construction and development in the residential and commercial segments. In light of these trends, in 2017 Ezdehar acquired Alunile, a manufacturer of glass and aluminium architectural products such as facades, windows and doors. Demographic trends have

also stimulated demand in segments such as consumer goods and pharmaceuticals. To address the growing urgency for the availability of diverse financing products to meet these needs, Ezdehar acquired Global Leasing Company, which offers a range of leases for assets, including production lines, equipment, machinery and vehicles, as well as commercial and industrial real estate.

For private equity, understanding the impact of the pandemic on portfolio companies and helping them adjust to the new normal has been a key focus following the immediate health and safety concerns. Nevertheless, conducting thorough due diligence and playing an active role in portfolio management in private equity transactions continue to be founded predominately on face-to-face interactions. As such, domestic investors are at an advantage over international players in the current environment. As private equity investment is long term in nature and more related to microeconomic than macroeconomic factors, there is reason for optimism in the coming years.

Alaa El Zoheiry

Chairman, Insurance Federation of Egypt

To what extent has the insurance industry in Egypt adopted digitalisation following the onset of the Covid-19 pandemic?

Egypt has taken a balanced approach towards the pandemic, one that is intended to mitigate the spread of the virus and maintain public safety while at the same time allowing for the continuation of economic activity. This meant that following the brief lockdown period businesses that were deemed non-essential or could be conducted remotely shifted online. This allowed essential work and jobs that required physical presence to continue alongside the implementation of additional safety measures. Around 75% of insurance companies adopted a model of working 50% remotely, 50% from the office. The remaining companies continued to work from the office at the usual capacity. A high portion of our clients and the wider business community introduced remote work, which resulted in a dramatic shift away from in-person and on-paper operations.

Prior to the pandemic a number of insurance companies began a process of digital transformation, yet for most it was a secondary priority and a

luxury. The crisis forced a change in thinking about digitalisation and made it a top priority for companies across the sector to adapt quickly. The transition has been furthered by the wider recognition by clients and consumers of the benefits and efficiency of doing business digitally. Progress made in digital payments has been beneficial for collections, and regulatory measures such as the legal recognition of e-signatures and the ability to issue policies digitally are expected to be implemented in the coming months.

How can the insurance sector build on the recovery from the pandemic to expand market penetration beyond the current 1%?

Egypt's insurance industry is well established but under-penetrated. The penetration rate for Egypt is 1%, while it stands at 3.6% for our regional counterparts and 5% for Europe. This is due to a number of factors, including culture, awareness and the regulatory framework. The government has made some key reforms in recent years, and there has been a particular focus on economic formalisation and financial inclusion. This will create opportunities

for expansion, as will efforts to educate potential clients on the benefits of insurance.

The value of insurance becomes clearer in times of volatility or uncertainty, but there is often coinciding pressure on corporate cash flows and individual pocketbooks that dampens anticipated growth in demand. As such, regulations need to encourage demand. In segments where insurance coverage is required, such as third-party automotive, the sector performed well. Additionally, demand in sectors where international companies operate in large numbers is also robust, reflecting internal requirements and compliance measures.

The successful expansion of insurance in the post-Covid-19 period will likely hinge on the adoption of digital business models to expand the reach of insurance companies and offer the right products in an accessible way. Expanding mandatory coverage beyond the current limited set of products to include lines such as homeowners' and rental insurance would be helpful. If government entities were to insure assets following the construction phase, that would also create a notable opportunity for insurers.



6 Key Takeaways

1

Egypt's ability to navigate the pandemic in a balanced way while maintaining positive economic growth was founded on the recent fiscal and economic reforms carried out by the government with the support of the IMF.

2

Banks and other financial institutions were able to partner with the government and play a role in supporting business thanks to the strong regulatory framework and ample liquidity in place prior to the pandemic.

3

With deepening capital markets and a highly diversified stock exchange, as well as the government's plans to publicly list two military companies, the scope for varied sources of financing is set to increase in the near term.

4

Egypt remains a regional leader in venture capital and private equity, and its flourishing start-up scene continues to be of international interest in spite of the pandemic. There is ample activity in accelerators and incubators, originating from numerous sectors and fields.

5

The effective digitalisation of financial services and the implementation of financial technology solutions require a multi-step approach to provide access to government and private sector services for those without internet connections or sufficient digital literacy.

6

The financial technology ecosystem in Egypt has grown substantially in recent years, and today it is recognised as one of the most dynamic in the region. Financial technology platforms have a strategic role to play in improving financial inclusion.

In collaboration with



